

opportunities are limitless for everyone connected to AOL Time Warner”—above all, he added, for its shareholders.

Ecstatic that their stock might finally get the cachet of an Internet darling, Time Warner shareholders overwhelmingly approved the deal. But they overlooked a few things:

- This “merger of equals” was designed to give America Online’s shareholders 55% of the combined company—even though Time Warner was five times bigger.
- For the second time in three years, the U.S. Securities and Exchange Commission was investigating whether America Online had improperly accounted for marketing costs.
- Nearly half of America Online’s total assets—\$4.9 billion worth—was made up of “available-for-sale equity securities.” If the prices of publicly-traded technology stocks fell, that could wipe out much of the company’s asset base.

CONCLUSION: On January 11, 2001, the two firms finalized their merger. AOL Time Warner Inc. lost \$4.9 billion in 2001 and—in the most gargantuan loss ever recorded by a corporation—another \$98.7 billion in 2002. Most of the losses came from writing down the value of America Online. By year-end 2002, the shareholders for whom Levin predicted “unlimited” opportunities had nothing to show but a roughly 80% loss in the value of their shares since the deal was first announced.^{[5](#)}

Can You Flunk Investing Kindergarten?

On May 20, 1999, eToys Inc. sold 8% of its stock to the public. Four of Wall Street’s most prestigious investment banks—Goldman, Sachs & Co.; BancBoston Robertson Stephens; Donaldson, Lufkin & Jenrette; and Merrill Lynch & Co.—underwrote 8,320,000 shares at \$20 apiece, raising \$166.4 million. The stock roared up, closing at \$76.5625, a 282.8% gain in its first day of trading. At that price, eToys (with its 102 million shares) had a market value of \$7.8 billion.^{[1](#)}